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FastTrack

Software

On-line insurer lauds Sapient's 'brainpower'

Sapient Corp. of Cambridge is winning praise for developing the software and systems that got an on-line insurance sales organization up and running in less than a year.

Founded last year with $24 million in venture capital – mostly from Bankers Trust Capital Partners – Answer Information Inc. of Santa Monica, Calif., made its debut with presentations to analysts in New York last week.

The company, operating as Insurance Answer Center, is making employee and affinity groups its target for automobile, homeowners, and life insurance and annuity products. A 23-person sales force is now lining up groups as clients.

Answer Information president Alan C. Snyder said the company proposes to deliver comparative quotations for the best buys from 53 insurance companies on line to individuals who belong to participating groups. Internet connections also will speed claims and other services. Web pages and programming by Sapient will save the data and, at the customer's keyboarded command, deliver it to a registered sales agent at a California call center, who can then complete a transaction by telephone.

Insurance underwriter affiliates include Zurich Insurance Co., Chubb Corp., Jackson National Life Insurance Co., the Protective Life Insurance Co., and St. Paul Cos. Inc.

Snyder said Insurance Answer Center agents are licensed in the District of Columbia and 49 states, including Massachusetts.

Desmond Varaty, Sapient senior vice president for financial services, said 23 employees in Cambridge and in California worked on the project, putting in a combined 2,800 days on systems the company needed.

This included writing 600,000 lines of computer code, creating 1,000 information files that rake up about 1,000 Web pages, performing 1,200 days of testing, and modifying the system's Hewlett-Packard hardware.

Snyder, in a telephone interview conducted with Varaty nearby, called Sapient "the most capable" of all the software companies he's worked with over the past 25 years. The company "brought the brainpower and ability to execute to the job, and came in on budget," he said.

Insurance Answer Center's system differs from a competitor network now being installed by Beverly-based Insurance Holdings of America, under a franchise agreement with Sam's Clubs, a membership discount club division of Wal-Mart Stores Inc.

Small business

Minority firms earn entrepreneur awards

Eleven small businesses – seven in Boston and one each in Holyoke, Oak Bluffs, Stoughton, and Watertown – have been named Massachusetts Minority Business Entrepreneurs of the Year.

The awards were made last week by the Minority Business Assistance Center, operated by the Small Business Development Center at the University of Massachusetts-Boston. The presentation was part of Minority Enterprise Development week ceremonies, cosponsored by the US Small Business Administration.

Minority Assistance Center director Henry Turner said the awards, in their fourth year, are meant to recognize small companies that persevere through hard work and participation in educational programs, such as those at the center.

Boston winners are City Fresh Foods Inc., Glynn Lloyd and Sheldon Lloyd, Dorchester; Walnut Deluxe Cleaners & Tailors Inc., John C. Canty, Dorchester; Your Limo Inc., Rita McLaughlin, Dorchester; Turs Construction Co., Pedro Pirez, Jamaica Plain; A Nubian Notion, Jacob Abdul Khalliq, Roxbury; Inner-City Software, Kenneth A. Granderson, Dorchester; and Help Services for the Elderly Inc., Dorchester.

Other winners are Alegre Construction Specialists Inc., Edgar R. Cintron, Holyoke; Cousin Rose's Art Gallery, Zeta Cousins, Oak Bluffs; Total Recall Photography, William Krause and Dorothy Watson, Stoughton; and Chase Media, Donna Latson Glitera, Watertown.

Another Minority Enterprise Development event, coordinated by the US Department of Commerce, is scheduled from 9:30 a.m. to 3:30 p.m. tomorrow at Anthony's Pier Four, South Boston.

The day's agenda includes speakers from the Minority Business Legal Defense and Education Fund Inc., the SBA, and four federal departments.

Cortland Cox, director of the Commerce Department's Minority Business Development Agency, is scheduled as luncheon speaker.

JERRY ACKERMAN

Dateline

◆ **Government of Israel Economic Office in New England**, free presentation, "Israeli High Tech: Financing, Managing and Marketing for Success," 5:30 p.m. Wednesday, Boston Park Plaza Hotel. Reservations and information, 617-424-1810.

Emerging Business

A REPORT ON NEW ENGLAND'S GROWING COMPANIES

Next 'Net generation focuses on commerce

■ INTERNET

Continued from Page K1

much on the future and the many young companies that hope to play a role in transforming the Internet into a useful business tool.

"Cambridge is where the Internet started, but there's all kinds of stuff still happening here around the Internet," said Joyce Plotkin, software council president. "We don't know which of these will be the next huge company, but that's not really the point. The point is that there's a lot going on, a lot bubbling up."

Today, more than 400 Internet-related companies are in the Bay State – 45 percent more than a year ago – according to the software council. In fact, about one in six of the state's 2,600 software companies is Internet-related.

So far, only a couple have matured – by Internet standards anyway – to achieve the kind of consumer brand equity that Yahoo and Amazon.com enjoy. Lycos Inc. of Waltham started out by offering computer users a way to search the World Wide Web and has evolved into an Internet gateway, or portal. Open Market Inc. of Burlington is a pioneer for its electronic commerce software.

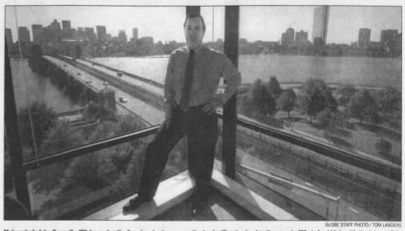
A few local companies have shown such promise that they have already been acquired by larger firms. PlanetAll Inc., a leader in the creation of on-line communities, was acquired earlier this summer by Amazon.com for $88 million; ViaWeb, which set the standard for quick set-up of on-line stores, was acquired by Yahoo.

Others, such as Allaire Corp., which makes tools that allow companies to develop interactive Web sites, have announced plans to sell shares to the public.

But the majority of Internet-related firms in Massachusetts are just getting off the ground. They've typically raised a few million dollars in venture capital funding and have no more than a few dozen employees.

Whether they specialize in providing software tools or services, the objective of virtually all of these firms is to help businesses use the Web more efficiently to reach customers.

"The Internet is going to impact your business, whether you like it or not," said Paul Gudonis, president of GTE Internetworking.



Mainspring's John Connolly: "We're seeing the American business executive in significant pain when it comes to 'What should I do with the Internet?' "

GLOBE STAFF PHOTO / TOM LANDERS

Mainspring Communications

Such a prediction spells opportunity for companies like Mainspring Communications of Cambridge.

The company was formed in the summer of 1996 by John Connolly, an entrepreneur and former publishing executive with Reading-based Addison-Wesley. Connolly's vision was to offer businesses a Web site for learning more about Internet technology. But he soon realized firms didn't need more technical information about the Internet. They wanted advice to help them understand the business impact of the Internet.

"We found a real disconnect between the hype of the Internet and 'How do I really deal with my customer today on the Internet' " Connolly said. "We're seeing the American business executive in significant pain when it comes to 'What should I do with the Internet?' "

Many companies "were on the Web for the sake of the Web," explained Ruth Habbe, Mainspring's senior vice president of marketing. But they never stopped to ask what kind of business sense that made.

Mainspring's response was to develop an accelerated six-step process to help businesses align their Internet initiatives with their overall business objectives.

Through a series of intensive, one-day consulting sessions, Mainspring forces a company's executives "to stop and ask themselves all the questions they never bothered to ask themselves," Habbe said.

The concept seems obvious, Connolly acknowledged, but Mainspring's business model – sort of a cross between a research firm and a consulting firm – is unique. In the first three months it has been marketing its services, Mainspring has signed up 30 big-name clients, including Citibank, Fleet Financial Group, BankBoston Corp, and Scudder Kemper Investments.

Mainspring has raised $14 million in venture capital. For now, it is focused on helping financial services clients, said Connolly, but it soon will expand to include retailers and manufacturers.

Webline Communications

Perhaps no one better represents the new generation of Internet entrepreneurs than the founder of Webline Communications, Pasha Roberts. His father, Larry Roberts, was part of the team that developed the ARPANET, the government-funded computer network that evolved into today's Internet.

Because of his father's role, Pasha Roberts was already familiar with the vast computer network and understood well its potential impact on businesses.

As a graduate student at MIT's Sloan School of Management, Roberts came up with the idea of using Internet technology to improve the operation of telephone call centers both for customer service and on-line retailing.

He and a fellow graduate student, Firdaus Bhathena, devised a business plan, which won the 1996 MIT $50K Entrepreneurship Competition. With that boost and some additional venture capital funding, Webline developed a prototype for its "telesvoh" service and recruited a top management team, many of them from Avid Technology Inc., a successful Tewksbury-based digital editing firm.

The notion behind Webline is simple, said president and chief executive Dan Keshian, Avid's former president: "We provide human assistance to electronic commerce."

Many studies have shown that consumers are reluctant to buy goods and services over the Web until they're able to interact with a real person, he said. Sometimes, they're concerned about security, he said, but often they just want an experienced salesperson to reassure them that they're buying what they really want.

"Some people just can't bring themselves to engage in this self-service model," Keshian said. "If you're in a furniture store, you want to talk to the salesperson about whether the wood is real, for instance."

That need for customer assistance is especially keen in the corporate world when the purchase involves something complicated such as a computer or a database.

"You want to make sure it's right. You can't make a mistake," he said.

Webline's technology allows a company's service representatives to interact with customers simultaneously over the telephone and the Web. While talking to the consumer on the phone, the service representative is able to take control of the customer's Web browser remotely and walk the customer through a product demonstration, for instance.

Webline has been shipping its products since late last year, and its revenues, while undisclosed, are estimated at between $5 million and $10 million.

"If we build the business correctly, an IPO is definitely in our future," said Keshian.

Open Sesame

In a way, Open Sesame of Cambridge has its early roots at BBN.



GLOBE STAFF FILE PHOTO

J.J. Allaire (left) and David Orfao of Allaire Corp., which has plans to sell shares to the public.

Cambridge: A legend is born

By now, the story has become legend – at least in Internet circles.

Two professors and a graduate student at the Massachusetts Institute of Technology – Richard Bolt, Leo Beranek, and Robert Newman – formed a consulting company in Cambridge that wound up building the first chunks of the global computer network now known as the Internet.

Many companies, universities, and government agencies collaborated to build the Internet, but no one participant is more closely identified with the project than Bolt, Beranek and Newman, later known as BBN Corp.

When they formed the company in 1948, the trio was focused on acoustics – the study of sound – not advanced computing. One of their most prominent assignments was designing the acoustics for the grand hall of the United Nations building on Manhattan's East River.

But in the late 1950s, the company's involvement with computers began to grow, inspired by a brilliant BBN scientist named J.C.R. Licklider, who believed computers should be more than just giant calculators. He saw them as communications devices and helped turn BBN into a center for computer research.

In 1962, Licklider left BBN to take a job at the Pentagon's Advanced Research Projects Agency, where he established the program that eventually led to construction of a computer network called the ARPANET.

In 1969, BBN won the contract to build the first legs of the network, connecting computers at four major universities in the West. More universities and research agencies were linked up, until the ARPANET evolved into a series of commercial regional subnetworks that eventually made the ARPANET obsolete.

BBN, which was acquired by GTE Corp. last year, is now one of the largest providers of the Internet backbone, the infrastructure that carries network traffic.

Cambridge and BBN are famous for another important Internet development, too – the first electronic mail message between two computers.

A BBN engineer, Ray Tomlinson, managed the feat in 1972, but first he had to figure out a way to separate, in the e-mail address, the name of the user from the machine the person was using. He needed a character that could not possibly be found in a user's name.

He studied the keyboard in front of him, and quickly zeroed in on the @ sign. Not only was it a unique character that wouldn't appear in someone's name, it had the added advantage of meaning "at" the designated computer.

JOANN MULLER

Alper Caglayan and Greg Zacharias were senior scientists at BBN when they decided in 1983 to form their own consulting company to provide artificial intelligence for the military and other government agencies.

In 1990, they formed a commercial division, Open Sesame, which developed intelligent agent software for desktop computers. The software was able to learn the repetitive behaviors of the user and automatically customize the desktop applications to suit those patterns.

In 1995, the pair shifted gears again and turned Open Sesame into an Internet-based tool, allowing companies to personalize their businesses by nonintrusively learning the interests and tastes of the customers who visit their Web sites.

Caglayan compares Open Sesame to a seasoned salesperson at your favorite store. After a few visits, the salesperson comes to learn your wardrobe preferences.

The product attracted a lot of attention, and perhaps not surprisingly, a fair number of buyout offers.

Last June, Open Sesame agreed to be acquired by Bowne & Co. Inc. of Toronto, a 223-year-old financial printing company that is transforming itself into an information management company.

The company, now part of subsidiary known as Bowne Internet Solutions, remains in Cambridge, however, and continues to grow. It's about to double the number of employees to 50 and is moving to larger quarters in Cambridge.

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That kind of job growth is undoubtedly the best part about the explosion of Internet-related companies in the Boston area, said Gudonis, adding that GTE Internetworking has created more than 1,000 new jobs around the Internet in the past year.

"After the decline of the minicomputer companies, we're seeing a resurgence of Cambridge and Route 128 around the Internet," he said. "Justice prevails, because it started here."

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